Course Outline Template

Indian Institute of Management Calcutta

Programme: PGP

Name of the Course: Economics of Talent Management (EC-XXX)

Core / Elective: Elective Cap (for Elective): 60

Credit: 1.5 credits

Academic Year & Term: PGP-2, Term 6 (pre midterm)
Course Coordinator: Prof. Tanika Chakraborty

Email: tanika@iimcal.ac.in

Instructor: Prof. Tanika Chakraborty

Affiliation: IIM Calcutta

Email: tanika@iimcal.ac.in

Introduction to Course /Course Description

The larger objective of this course is to apply economic models, reasoning, and econometric approaches to understand core questions in employer-employee relationships. More specifically, the course will use the classical economic approach, with fully rational agents making optimal choices under scarcity, to explain and predict behavior in the workplace and the labor market. The course will also explore contemporary extensions of traditional models, incorporating concepts such as social context (e.g., peer effects, altruism, or social comparison), non-standard time preferences, loss aversion, and cognitive costs, all of which potentially influence workplace behavior. We will assess the practical relevance of these models by empirically evaluating their predictions and learn the theories through in-class games.

Course Objective and Key-takeaways from the course

- Understand the application of microeconomic theories to solve management issues in the workplace
- Learn data analytics to understand the evidence supporting/refuting theoretical predictions on workforce management

Programme Level Learning Goals

- Possess state-of-the-art knowledge of economic theory to be able to understand their application in practice, in the realm of employer-employee relationships. (Critical Thinking)
- Acquire skills to diagnose and resolve business problems through an evidence-based approach and in-class games (Problem Solving)

- Be able to appreciate, filter and critically evaluate relevant evidence on business solutions that are increasingly data-driven (Technological Competencies)
- Be ready to present your case for what is a relevant organizational problem and the solution you offer (Ability to Articulate)
- Learn to work in a group as a leader or as an equal partner (leadership qualities needed for organizational change)

International Components in your course (if any)

Various case studies from across the world will be used in this course. Students are regularly encouraged to read papers from international journals. Most of the text references in this course are examples from various countries across the world.

Pre-requisites
Microeconomics

Required Text Book(s)

Lazear, E. P., & Gibbs, M. (2014). Personnel economics in practice. John Wiley & Sons. [LG2009]
https://www.wiley.com/en-us/Personnel+Economics+in+Practice%2C+3rd+Edition-p-9781118206720

Handout will be provided at the beginning of the course.

Recommended Text Book(s)

1. Angrist, J. D., & Pischke, J. S. (2014). Mastering'metrics: The path from cause to effect. Princeton university press. [AP2014]

2. Becker Gary S., "Nobel Lecture: The Economic Way of Looking at Behavior," Journal of Political Economy, 101 (1993), 385–409. [B1993]

3. Bertrand Marianne, Black Sandra E., Jensen Sissel, Lleras-Muney Adriana, "Breaking the Glass Ceiling? The Effect of Board Quotas on Female Labour Market Outcomes in Norway," Review of Economic Studies, 86 (2019), 191–239. [BBSL2019]

4. Flory, J. A., Leibbrandt, A., Rott, C., & Stoddard, O. (2021). Increasing workplace diversity: Evidence from a recruiting experiment at a Fortune 500 company. Journal of Human Resources, 56(1), 73-92. [FLRS2021]

5. Flory, J. A., Leibbrandt, A., & List, J. A. (2017). Using Behavioral Economics to Curb Workplace Misbehaviors: Evidence from a Natural Field Experiment (No. 00617). The Field Experiments Website. [FLL2017]

6. Garibaldi (2006): Personnel Economics in Imperfect Labour Markets, Oxford University Press. [G2006]

7. Kline, P., Rose, E. K., & Walters, C. R. (2022). Systemic discrimination among large US employers. The Quarterly Journal of Economics, 137(4), 1963-2036. [KRW2022]

8. Kuhn, Peter. (2017). Personnel Economics, Oxford University Press, ISBN: 9780199378012 [PK2017]

9. Lazear, E. P. (1999). Personnel economics: Past lessons and future directions presidential address to the society of labor economists, San Francisco, May 1, 1998. Journal of Labor Economics, 17(2), 199-236. [L1999]

10. Lazear, E. P., & Shaw, K. L. (2007). Personnel economics: The economist's view of human resources. Journal of economic perspectives, 21(4), 91-114. [LS2007]

11. Lazear, E. P., & Oyer, P. (2007). Personnel economics. NBER Working Paper No. 13480 [LO2007]

12. Morgan, J., & Várdy, F. (2009). Diversity in the Workplace. American Economic Review, 99(1), 472-485. [MV2009]

13. Other Published articles from various journals like American Economic Review, Quarterly Journal of Economics, Journal of Labor Economics, Journal of Human Resources etc.

Technology enabled learning component for your course

1. Additional materials and all presentation slides are regularly shared with students through Cloud.
2. In-class experiments will be conducted using game-platforms
3. In-class Quiz will be conducted online

Session Plan

S No.	Topic	Intended learning outcome	References
1	Introduction to Course - Importance of studying employer-employee relationships - Basic economic models of labor supply and demand	Differentiate between the HR approach and economic approach to analyzing similar issues. Learn how make sense of evidence using economic theory Learn economic theory through in-class games	Handout
2	Employee Selection in perfect labor markets - Hiring under full information - Risky workers - Costs and benefits of different recruitment strategies	Learning to generalize using economic theory and then to tweak the general theory to understand specific instances	Handout
3	Employee Selection in imperfect labor markets - Hidden Information: Adverse Selection - Hiring under asymmetric information - Screening - Signalling	Learn to apply economic theories around asymmetric information to understand recruitment dynamics and signaling theories as a solution	[LG2007], Handout
4	Empirical Methods in Personnel Economics - Experiments - Regression - Quasi-Experiments - Is higher education worth the cost?	Learn to Differentiate between Correlation and Causality	[AP2014], PK2017
5	Employee Compensation - Hidden Action: Moral Hazard - Performance pay - Franchise model	Learn how different compensation structures can create different incentives based on the nature of the job and reduce moral hazard	Handout; PK2017
6	CEO Compensation - Tournament Model	Learn about an alternative approach to reducing	[LG2007], Handout

		moral hazard. Understand the theory through in-class games	
7	Behavioral Economics in the Workplace - Non-classical motivators and pay design - Money and employee-motivation - Gift-exchange contract	Learn about the role of irrational behavior in pay design and employee productivity	[LG2007], PK2017
8	Workplace Diversity and Inclusion	Learn about the role of stereotypes in workplace diversity and employee productivity	[FLRS2021]; [KRW2022]; [BBSL2019]; [MV2009]
9	Student Project Presentations - Case studies on Topics covered in class - Application of theoretical models to practical problems - Group projects and presentations	Learn about various case studies on topics covered in class and assess cross country relevance	To be shared in class

Evaluation Components

✓ Components	✓ Weightage
Games	**10%**
Project Presentation	**30%**
End-Term Exam	**60%**

Online Course Management (moodle)/course web

Cloud